

Alphabet Inc.

GOOGL NASDAQ

Buy	\$330.50 ▼ 0.05%	12M Price Target \$385.00	52-Week Range \$235.84 – \$408.61	Market Cap \$4.04T
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GOOGL: TPU Story Getting Real, Antitrust Overhang Fading

WHAT HAPPENED

- Stock basically flat today (-0.05%) but that masks the real story — GOOGL dropped ~3.5% over the past week from \$342 to \$330 on heavier volume (33M shares yesterday vs typical 22M). That's institutions trimming, not panic. Cathie Wood's ARK selling GOOGL to buy Meta is part of the narrative pressure, but she's a small holder — ignore the noise.
- The actual bullish catalyst: Oppenheimer is out today saying Alphabet's TPU (Tensor Processing Unit — Google's custom AI chip that competes with Nvidia's GPUs) sales could drive meaningful Google Cloud upside. This is the story that matters — if GOOGL becomes a credible Nvidia alternative, the multiple re-rates higher.

WHY IT MATTERS

Here's what's really going on: the market is digesting whether Google's AI chips (TPUs) can steal enterprise workloads from Nvidia. If that thesis proves out, GOOGL isn't just an ad company anymore — it becomes the #2 AI infrastructure provider in the world, which deserves a much higher multiple. The options flow is screaming this: put/call ratio of 0.31 (way more bullish bets than bearish) with unusual call buying at \$335 and \$342.50 strikes tells you sophisticated money is positioning for a bounce back to prior highs. The mild pullback this week is probably just profit-taking after a strong August run, not a change in the fundamental story.

POLICY & POLITICAL WATCH

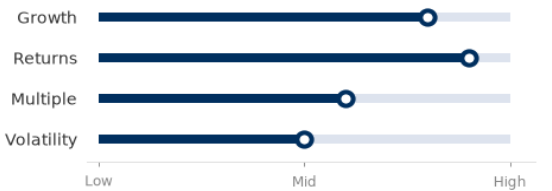
The biggest political tailwind right now is that the DOJ antitrust remedy (announced late 2025) came in far softer than feared — Google keeps Chrome and Android, just has to share some search data with competitors. That removed the worst-case overhang. Watch two things: (1) the Trump administration's stance on Big Tech has been transactional — GOOGL has been playing ball on federal AI contracts and datacenter investment, which buys political goodwill, and (2) any escalation of China chip export controls actually HELPS GOOGL because it forces enterprises to seek non-Nvidia alternatives, and TPUs are the only real option. Congressional AI regulation is stuck in committee and unlikely to move before midterms.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$330.50
12M Price Target	\$385.00
Upside / (Downside)	+16.5%
Market Cap	\$4.04T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.60
Fwd P/E	33.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$338.00	\$315.00
6 Months	\$400.00	\$365.00	\$300.00
1 Year	\$440.00	\$385.00	\$285.00
2 Years	\$520.00	\$430.00	\$270.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+0.55% today, GOOGL's home sector) is the only green sector — money is quietly rotating back into mega-cap tech after last week's sell-off. Semiconductors and AI infrastructure remain the multi-quarter winner as government and enterprise AI spending accelerates.

COOLING OFF: Consumer Staples and Real Estate both down over 1% on the week — classic sign that money is leaving defensive plays and rotating back into growth/tech. That's a GOOGL positive.

ROTATION WATCH: Money is moving OUT of "safe" names and INTO AI infrastructure plays where the earnings power is visible. The Broadcom-getting-valuable narrative in today's news is part of the same trade — investors want AI chip exposure.

RELATED PLAY: If you believe the TPU story, Broadcom (AVGO) is the second-order winner because they co-design TPUs with Google. Also worth watching data center REITs like Equinix (EQIX) as the picks-and-shovels.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Riding the custom AI chip wave — literally builds Google's TPUs with them, so bullish AVGO narrative = bullish GOOGL narrative.
- META (Meta Platforms): Cathie Wood rotating INTO Meta from GOOGL, and Meta's AI ad targeting is winning share — but note today's Oppenheimer piece flagged Meta's "weak trust score" as a risk for their new Muse product.

GOOGL CONTEXT: GOOGL is lagging Meta and Broadcom over the past month but leading Apple and Microsoft. That's actually healthy — it means the pullback is stock-specific (profit-taking) rather than a sector-wide problem. When a leader consolidates while the sector holds up, it usually resolves higher.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$325-330 zone, add aggressively under \$315

Time Horizon: 12-24 months

Thesis Invalidation: Search revenue declines YoY as AI cannibalizes queries, OR DOJ appeals for harsher remedy (Chrome divestiture)

Hedging: Small put spread or pair with short MSFT/META if you want sector-neutral exposure